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EXISTENTIAL THREAT TO WTO ... A CRITICAL APPRAISAL

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International Relations



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WTO: Struggling to stay relevant

The Trump administration's undermining of the trade body will have a serious impact on global trade and beyond

PHOTOGRAPHICAL

The World Trade Organisation (WTO) is facing an unprecedented existential crisis. The challenges to WTO are coming from various quarters but the biggest threat is from one of its former proponents – the US.

The present US administration has taken a very tough stand on the WTO. The US President thinks that the WTO is the "single worst trade deal ever made". He has often expressed his disdain for WTO in numerous terms and has repeatedly threatened to pull out of the organisation.

In the name of promoting nationalist policies, the Trump administration is repeatedly flouting the WTO rules and unilaterally imposing tariffs on other countries. Actions by the US trade officials are basically pushing the world to watch a trade war.

To justify their actions, the US trade officials are using a rather arcane rule of GATT – the Article XXIV. This article says, in part, that GATT/WTO rules cannot prevent a country from taking any action which it considers necessary for the protection of its essential security interests.

The Article XXIV was written during the establishment of GATT more than 70 years ago when the world was coming out of a series of major conflicts including the second world war. It was also a period of the Cold War.

Maybe during that era there was some usefulness of this Article. But in the present context, there is serious debate about what is meant by "national security" and "necessary" action. For example, the US has used the "national security" clause to increase tariff rates on imports of steel and aluminium. Not surprisingly, not many countries

have agreed that import of steel and aluminium can threaten national security.

However, a recent WTO ruling has made the matter more complex. In a dispute between Ukraine and Russia, the WTO has ruled that while every member can define its essential security interests, the WTO has the right to review whether a country's claim was made in good faith. This ruling has opened a Pandora's box and can potentially turn the WTO dispute settlement (DS) process into a forum to discuss international political problems. Against the backdrop of a potential trade war, this may lead to more conflict among the WTO member countries and put pressure on the WTO DS system.

Dispute settlement in crisis

The WTO dispute settlement process is anyway going through a crisis. In the recent past, several WTO rulings have gone against the US. These have led the US officials to claim that the US is being treated in the WTO as since the past few years. This has serious ramifications for the WTO dispute settlement system.

In the WTO dispute settlement system, any trade dispute is initially tried to be settled through consultations among the disputing members. If that does not work, then the case goes to a dispute panel. The decision of the dispute panel is final, but the decision can be appealed to the AB. The AB reviews the decision of the panel. But once the AB gives a report, it becomes final and binding on the members.

According to the WTO system, the AB should have seven members who are appointed by consensus among WTO members. Any appeal from the WTO dispute panels must be heard by three out of seven members of the AB. These seven members are appointed for a four-year term. Once an AB member fulfils his/her term, a new member is

appointed. However, since 2019, there has been no appointment of new members to the AB. Four members of the AB have completed their terms, and no replacement members could be appointed. Presently there are only three members left in the AB and if no new members are appointed, then by December 2019 there will be only one member left. This will make the AB dysfunctional and will jeopardise the WTO dispute settlement mechanism.

This can have a serious impact on the rule-based multilateral trading system. The US administration is regularly threatening countries with imposition of additional tariffs. They have also raised tariff rates on several products. Some countries like India have retaliated and imposed countermeasures against US exports. It almost appears that the US is using a two-pronged strategy to create disruptions in the



Waiting on the wall Thanks to US actions, the rule-based global trading system is under threat of serious

reach". As a retaliation to its perceived victimisation, the US is blocking appointment of members to the WTO AB since the past few years. This has serious ramifications for the WTO dispute settlement system. In the WTO dispute settlement system, any trade dispute is initially tried to be settled through consultations among the disputing members.

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global trading system. It is violating the WTO rules and raising a large number of trade disputes while continuing to block appointment of AB members thereby disrupting the DS system. These trade frictions and uncertainties are hurting global trade quite significantly. WTO data released in April this year show that international merchandise trade growth is slowing down perceptibly.

After a healthy year-on-year growth rate of 4.6 per cent in volume terms recorded in 2017, the growth rate of global merchandise trade has slumped to 1 per cent in 2018 and is further expected to slow down to 1.6 per cent in 2019.

If major trading countries continue to undermine the role of WTO and global trade continues to decline, it may become a serious setback for an organisation which is struggling to maintain relevance in a changed global trade scenario.

The writer is a professor at IIM Calicut.



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GS II ... International Relations

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DRAFT QUESTION

“Invoking national security clauses for rising the trade tariffs disrupts the fundamental principles of WTO”. Discuss the issue in the context of rising the tariffs by USA recently by citing national security clause.

AND

“WTO is facing existential threat primarily due to the U.S. actions”. Discuss.



100 WTO: Struggling to stay relevant

The Trump administration's undermining of the trade body will have a serious impact on global trade and beyond. The World Trade Organization (WTO) is facing an unprecedented existential crisis. The challenges to WTO are coming from various quarters but the biggest threat is from one of its former proponents — the US.

The present US administration has taken a very tough stand on the WTO. The US President thinks that the WTO is the “single worst trade deal ever made”. He has often expressed his disdain for WTO in no uncertain terms and has repeatedly threatened to pull out of the organisation.

In the name of promoting nationalistic policies, the Trump administration is repeatedly flouting the WTO rules and unilaterally imposing tariffs on other countries. Actions by the US trade officials are basically pushing the world towards a trade war.

To justify their actions, the US trade officials are using a rather arcane rule of GATT — the Article XXI. This Article says, in part, that GATT/WTO rules cannot prevent a country “from taking any action which it considers necessary for the protection of its essential security interests,”. The Article XXI was written during the establishment of GATT more than 70 years ago when the world was coming out of a series of major conflicts including the second world war. It was also a period of the ‘Cold War’.

Maybe during that era there was certain usefulness of this Article. But in the present context, there is serious debate about what is meant by “national security” and “necessary” action. For example, the US has used the ‘national security’ clause to increase tariff rates on imports of steel and aluminum. Not surprisingly, not many countries have agreed that import of steel and aluminum can threaten national security.

100 WTO: Struggling to stay relevant

However, a recent WTO ruling has made the matter more complex. In a dispute between Ukraine and Russia, the WTO has ruled that while every member can define its essential security interests, the WTO has the right to review whether a country's claim was made in good faith. This ruling has opened a Pandora's box and can potentially turn the WTO dispute settlement (DS) process into a forum to discuss international political problems. Against the backdrop of a potential trade war, this may lead to more conflict among the WTO member countries and put pressure on the WTO DS system.

Dispute settlement in crisis

The WTO dispute settlement process is anyway going through a crisis. In the recent past, several WTO rulings have gone against the US. These have led the US officials to claim that the US is being victimised and the WTO rules are violating its national sovereignty. For example, a recent report of the Appellate body (AB) of WTO — dated July 16, 2019 — has ruled that the US broke WTO rules while imposing certain trade barriers against China. If the US does not remove these trade barriers, then China can impose sanctions against US exports.

In WTO, an AB report is final, and binding and it cannot be challenged. Therefore, the US will have to act unless it wants to give China an option to exercise trade sanctions against the US. No wonder such rulings have not gone down well with the US officials. They have accused the WTO system of encroaching on its national sovereignty. They have also accused the WTO dispute settlement system of judicial “overreach”. As a retaliation to its perceived victimisation, the US is blocking appointment of members in the WTO AB since the past few years. This has serious ramifications for the WTO dispute settlement system. In the WTO dispute settlement system, any trade dispute is initially tried to be settled through consultations among the disputing members.

100 WTO: Struggling to stay relevant

If that does not work, then the case goes to a dispute panel. The decision of the dispute panel is final, but the decision can be appealed to the AB. The AB reviews the decisions of the panel. But once the AB gives a report, it becomes final and binding on the members.

According to the WTO system, the AB should have seven members who are appointed by consensus among WTO members. Any appeal from the WTO dispute panels must be heard by three out of seven members of the AB. These seven members are appointed for a four-year term. Once an AB member finishes his/her term, a new member is required to be appointed to keep the strength of the AB at seven.

US blocking appointments

However, since 2017, the US has been blocking appointment of new members in the AB. Four members of the AB have completed their terms, and no replacement members could be appointed. Presently there are only three members left in the AB and if no new members are appointed, then by December 2019 there will be only one member left. This will make the AB dysfunctional and will jeopardise the WTO dispute settlement mechanism.

This can have a serious impact on the rule based multilateral trading system. The US administration is regularly threatening countries with imposition of additional tariffs. They have also raised tariff rates on several products. Some countries like India have retaliated and imposed countermeasures against US exports. It almost appears that the US is using a two-pronged strategy to create disruptions in the global trading system.

100 WTO: Struggling to stay relevant

It is violating the WTO rules and raising a large number of trade disputes while continuing to block appointment of AB members thereby disrupting the DS system. These trade frictions and uncertainties are hurting global trade quite significantly. WTO data released in April this year show that international merchandise trade growth is slowing down perceptibly.

After a healthy year-on-year growth rate of 4.6 per cent in volume terms recorded in 2017, the growth rate of global merchandise trade has slumped to 3 per cent in 2018 and is further expected to slow down to 2.6 per cent in 2020. If major trading countries continue to undermine the role of WTO and global trade continues to decline, it may become a serious setback for an organisation which is struggling to remain relevant in a changed global trade scenario.

GLOBAL TRADE VOLUMES ARE SLOWING DOWN!



- In **2017**, the global trade volumes have grown by **4.6%**.
- The growth rate of global merchandise trade has slumped to **3%** in **2018**.
- It is further expected to slow down to **2.6%** in **2020**.

WTO IS FACING EXISTENTIAL CRISIS ... ESPECIALLY FROM USA!



- WTO is facing an unprecedented existential crisis, the challenges are coming from various quarters, but the biggest threat is from US.
- The present US Administration thinks that WTO is the “Single Worst Trade Deal ever made”.

Steel**Aluminum**

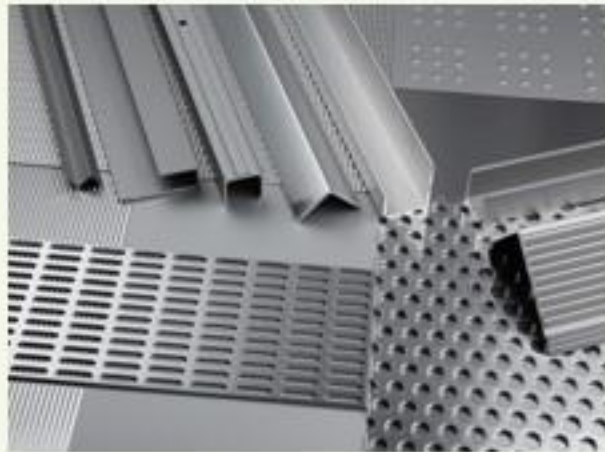
US President imposed 25% import duty on Steel and 10% on Aluminum. He used National Security Clause of the Trade Expansion Act of 1962 to increase duty.

WHY USA INVOKED THE NATIONAL SECURITY CLAUSE?

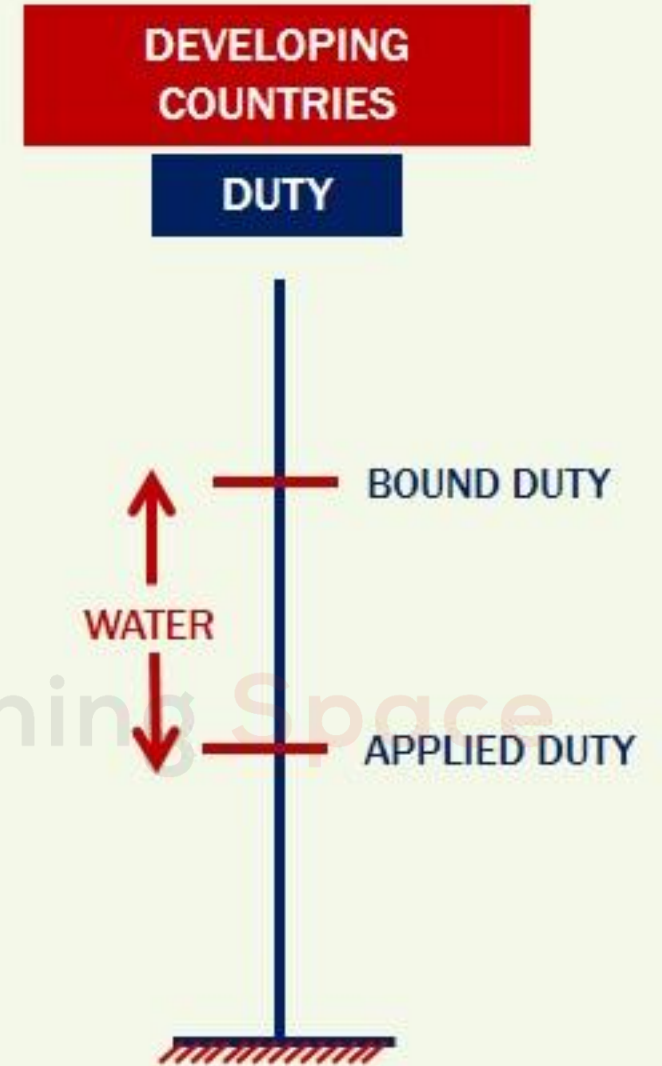
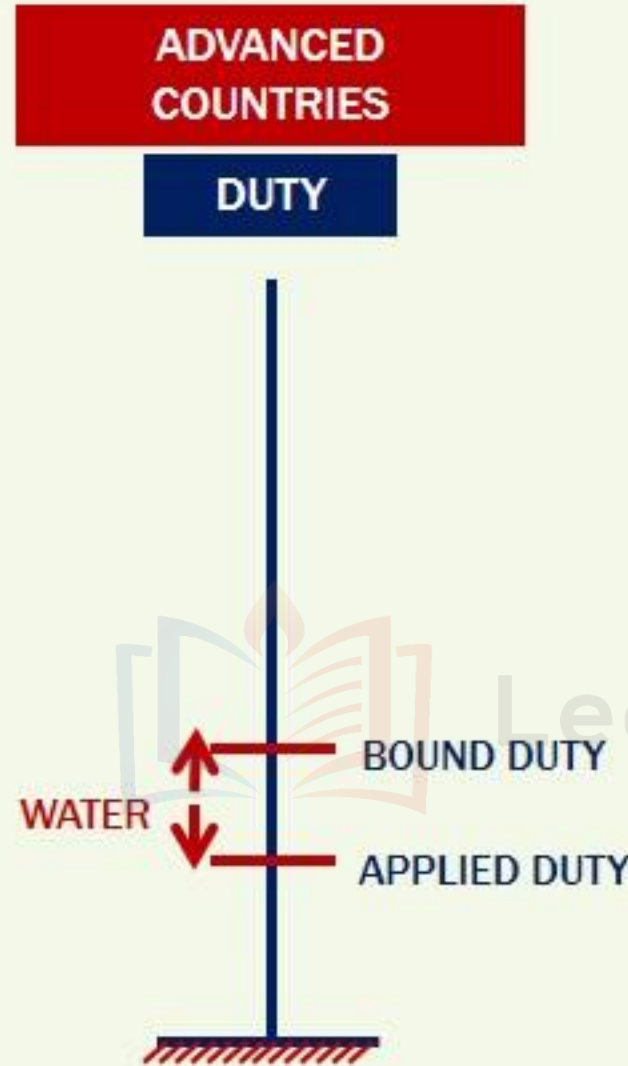
- The difference lies in the commitment made at the WTO.
- The WTO member countries notify the bound duties, which is nothing but ceiling duty for each product.
- A country cannot increase its import duty for a product above this level.
- The actual import of the product takes place at the applied duty, which is generally lower than the bound duty.
- The difference between the bound duty and applied duty is called “water” in trade language.



Steel



Aluminum





WHY US HAS LESS “WATER”?

- 1** In US, “water” is less than 1 per cent on most of the items.
- 2** If the applied duty on a product in the US is 3 per cent and the country can increase it up to 4 per cent, not any more higher.
- 3** The low “water” is the suo motu commitment taken by the US at the WTO and the rationale behind that was low import duties are a must for national development.

US is not alone opting for low “water”. The EU, Japan and most other developed countries have also chosen for less than 2% “water”.

ORIGIN OF NATIONAL SECURITY CLAUSE

1 GATT/WTO rules cannot prevent a country “from taking any action, which it considers necessary for the protection of its essential security interests”.

2 Article XXI was written during the establishment of GATT, around 70 years ago.

Now, USA invoked WTO Security Exception Clause under Article XXI:(b)(iii) for an increase in duty.

HOW FAR IS IT TENABLE IN USA CASE?

1 It is not understood how the import of steel and aluminum can threaten National Security.



SEE THE RECENT WTO RULING IN UKRAINE / RUSSIA DISPUTE ON NATIONAL SECURITY!



- 1 WTO ruled that, while every member can define its essential security interests, WTO has the right to review whether a country's claim was made in good faith.
- 2 This opened a Pandora's box, it can potentially turn the WTO Dispute Settlement process into a forum to discuss international political problems.

This may lead to more conflicts among the WTO member countries.

WHY USA IS UNHAPPY WITH WTO?



Part of the problem lies with the attitude of Donald Trump!



1 In recent times, several WTO rulings have gone against U.S.

2 This made the US officials to claim that the US is being victimised and the WTO rules are violating its national sovereignty.

3 Recent report of the Appellate Body of WTO ruled that US broke WTO rules, while imposing certain trade barriers against China.

4 If the US does not remove these trade barriers, then China can impose sanctions against US exports.

Appellate Body Report in WTO parlance is final and binding and it cannot be challenged. In recent times, US accused WTO of encroaching on its National Sovereignty. It also accused the WTO Dispute Settlement System of judicial "Overreach".



WHAT IS THE DISPUTE SETTLEMENT SYSTEM IN WTO?

1 Any trade dispute is initially tried to be settled through consultations among the disputed members.

**If it does
not work**

2 The matter goes to the dispute settlement panel. The decision will be final, but it can be appealed to the Appellate Body.

**If the parties
are not happy**

3 The Appellate Body reviews the decisions of the panel, but once the Appellate Body gives its report, it is final and binding on the members.



WHAT IS THE PRESENT STATUS OF APPELLATE BODY?



- 1 According to the WTO system, Appellate Body should have seven members, who are appointed by consensus among WTO members.

- 2 Any appeal from the WTO Dispute Panels must be heard by three out of seven members of the Appellate Body.
- 3 These seven members are appointed for a four year term.
- 4 Once an AB member finishes his or her term, a new member is required to be appointed to keep the strength of the AB at seven.



This will have serious impact on the Multilateral Trading System. US is violating the WTO rules and raising a large number of trade disputes, while continuing to block appointment of AB members and it wants to disrupt the Dispute Settlement Mechanism. These trade frictions and uncertainties are hurting the global trade quite significantly.

USA IS BLOCKING THE APPOINTMENTS!

- 1 US is blocking the appointments to Appellate Body, since 2017.
- 2 Four members of the Appellate Body have completed their terms and no replacement members could be appointed.
- 3 At present, there are only three members left in the AB and if no new members are appointed, then by December 2019 there will be only one member left. This will make the AB dysfunctional and altogether, it will affect the WTO Dispute Settlement Mechanism.

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